

prices to rise due to increased earnings. In addition, many great blue chip companies are offering dividend rates well in excess of the rates of return you can get in “safe” investments like bank accounts and U.S. Treasury bills. With these rates, you are getting “paid to wait” with a dividend that can match or even exceed the inflation rate!

In reality, it is much more difficult to say how stocks will behave in a low-rate environment because there are so many confounding factors such as how low interest rates often coincide with poor economic conditions. So, as we have seen over the past couple of years, it could be that the Federal Reserve Board will lower interest rates dramatically, but stocks will still fall in anticipation of a recession.

Short-term bonds can be a good choice because they are much less sensitive to changes in the market interest rate. In fact, if you are able to hold a short-term bond to maturity, you don’t even have to worry about changes in a bond’s price. This is because bond investors have an option that stock investors do not—rather than selling the bond, they can simply wait to get the principal amount back at maturity. Short-term bonds usually don’t pay as high an interest rate, but a modest return is still a good result as you wait for more promising investment opportunities.